Gearing ratio and risk

Capital gearing is the balance between the capital a company owns and the funding it gets from short- or long-term loans. Investors and lenders use it to assess risk.

COMPANY HAS MORE DEBT
A high proportion of debt to equity is also described as a high degree of financial leverage. Typical examples of debt are loans and bonds.

How it works

Most businesses operate on some form of gearing (also called financial leverage), funding their operations in part by borrowing money via loans and bonds. If the level of gearing is high (that is, the business has taken on large debt in relation to its equity), investors will be concerned about the ability of the business to repay the debt. However, if the company's profit is sufficient to cover interest payments, high gearing can provide better shareholder returns. The optimum gearing level depends on how risky a company's business sector is, the gearing levels of its competitors, and the company's maturity. Gearing ratios vary from country to country. Firms in Germany and France often have higher ratios than those in the US and UK.

Equity finance (shares)

Pros

- Low gearing is seen as a measure of financial strength
- Low risk attracts more investors and boosts credit rating
- Finance from shares does not have to be repaid
- Shareholders absorb losses
- Angel investors share expertise
- Good for start-ups, which may take a while to become profitable

Cons

- Shared ownership, so company founders and directors have limited control of decisions
- Profit is shared in return for investors risking their funds
- There is a legal obligation to act in the interests of shareholders
- Complex to set up

Gearing ratio calculation

Analysts and potential investors assess the financial risk of a company with this calculation, presented as a percentage.

$$\frac{\text{LONG-TERM DEBT}}{\left(\text{SHARE CAPITAL + RESERVES + LONG-TERM DEBT}\right)} \times 100$$

Low gearing

A software company is going public. Its ratio of 21.2 percent tells investors that it has relatively low gearing and is well positioned to weather economic downturns.

$$\frac{\$1.2\text{ MILLION}}{\left(\$2\text{ MILLION} + \$2.455\text{ MILLION} + \$1.2\text{ MILLION}\right)} \times 100 = 21.2\%$$